Tesla, Inc. (TSLA): Should the Fund Initiate a Position?

Project 1 Valuation for the Investment Committee

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FIN 43900

Should We Buy Tesla?

- Simple answer, Not Yet
- Tesla’s current business is worth about $15-$20 per share (base case $16.54)
- The other $336 of the price is a bet on Robotaxi and AI, which isn’t proven yet
- Horizon: 3-5 years (Review Every Quarter)

Tesla in 2025

Cars slowed down. Energy took off.

Metric	FY2024	FY2025	Change
Total revenue	$97.7B	**$94.8B**	▼ −3%
Automotive revenue	$77.1B	**$69.5B**	▼ −10%
Vehicles delivered	1.79M	**1.64M**	▼ −8%
Regulatory credits	$2.8B	**$2.0B**	▼ −28%
Energy storage revenue	$10.1B	**$12.8B**	▲ +27%
Energy gross margin	26.2%	**29.8%**	▲ +3.6 pts
Operating income	$7.1B	**$4.4B**	▼ −38%
Cash + investments	$36.6B	**$44.1B**	▲ +21%

Next: Tesla plans $20B+ of capex in 2026 (vs. $8.5B in 2025).

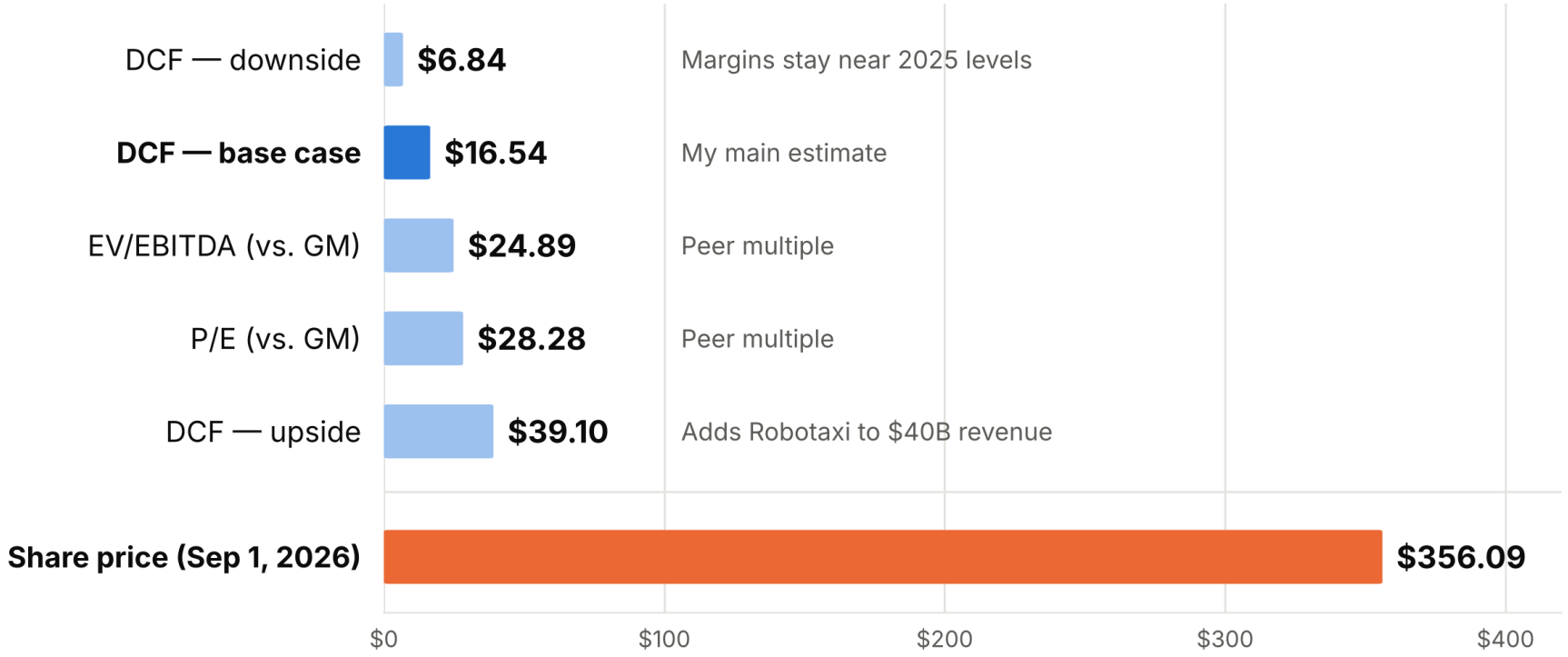
Source: Tesla FY2024 and FY2025 Form 10-K.

What Drives My Forecast

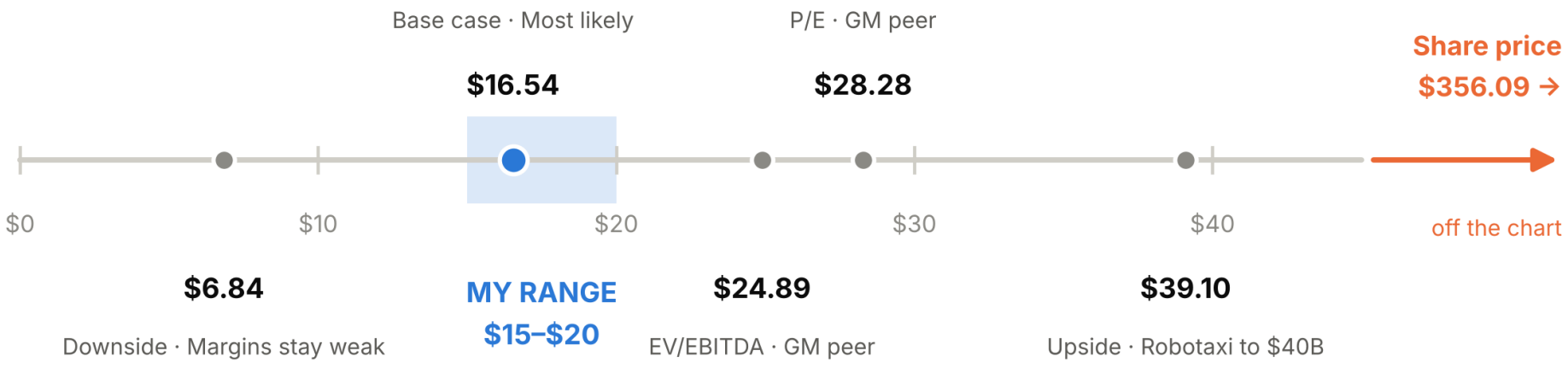
Driver	2025 actual	My forecast (2026 → 2030)	Why
Vehicle deliveries	1.64M	**+3% → +5% a year (2.13M)**	Slow recovery
Car margin (ex credits)	15.4%	**16% → 20%**	Cost cuts, cheaper cars
Regulatory credits	$2.0B	**$1.2B → $0.2B**	Rules loosening
Energy storage deployed	46.7 GWh	**+25% → +12% a year**	Megapack scaling
Energy margin	29.8%	**30% → 34%**	Trend kept rising
Capex	$8.5B	**$20.5B → $12B**	AI compute, factories
Free cash flow (FCFF)	$6.2B	**−$10.6B → +$5.3B**	Negative through 2028

What is Tesla Worth?

Every method lands far below $356



So, Why Did I Choose $15-$20

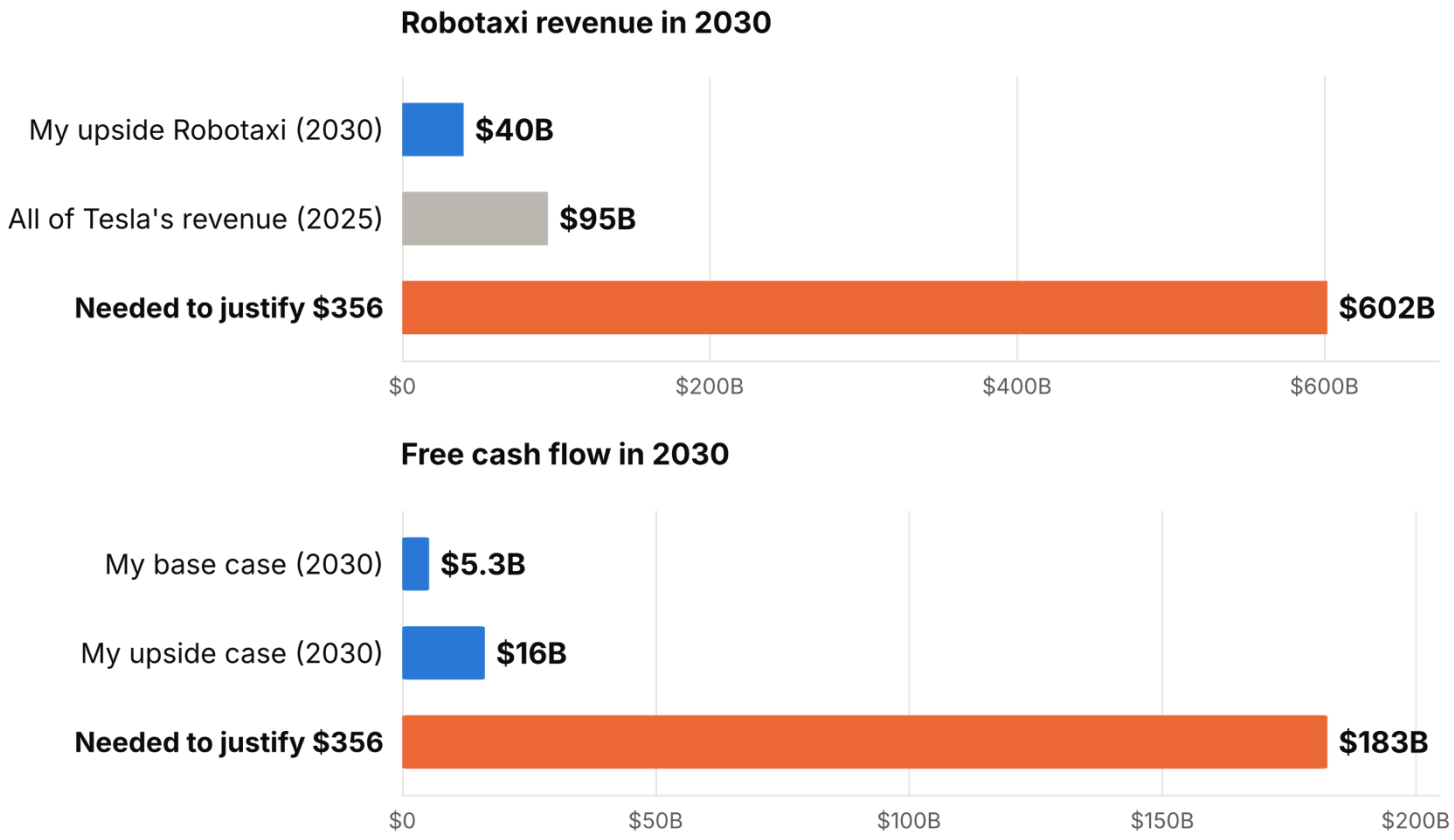


Range = base case ± a few dollars. The full $7–$39 spread shows the uncertainty; even its top is ~9× below the price.

Sensitivity: WACC ±1% and terminal growth 2–4% keep the base case between $14.50 and $19.73 per share.

What Does $356 Assume?

The price only works if Robotaxi becomes enormous.



What Would Change My Mind?

If this happens...	What I check each quarter	My call moves
Price falls toward my $15–$20 range	Share price	▲ Toward initiate
Paid Robotaxi / FSD revenue in multiple cities	10-Q revenue, city launches	▲ Toward initiate
Megapack growth and margins beat my forecast	Energy GWh and margin	▲ Toward initiate
Robotaxi / FSD delayed or banned	Regulators, launch dates	▼ Do not initiate
Capex keeps draining cash with no payoff	Capex, free cash flow	▼ Do not initiate
Car margins stay stuck near 15%	Automotive gross margin	▼ Do not initiate

How I checked the work

I tested the model before trusting it

Check	What I did	Result
Known-answer test	Class training case run through my DCF code	✓ 18/18 match ($27.50)
Source checks	Key numbers checked by me in the 10-K and market data	✓ All matched
Statement checks	Balance sheet balances, cash ties out, every year	✓ All pass, 3 scenarios
Locked prediction	Guessed before raising terminal growth 3% → 5%	Direction right, size wrong
Failure tests	Broke the model on purpose (e.g., negative cash flow)	✓ Stopped every time
Cold run	Fresh GitHub download, one clean run, recorded	✓ All files ran
AI review	Every AI output logged; errors caught and fixed	✓ 12 log entries

AI tools used: Codex and Claude. Full disclosure and checks in Validation-and-AI-Use.pdf.

Key Takeaways

01

Tesla's business today

Worth about $15–$20 per share.
Every method lands at $7–$39.

02

The price is a bet

$356 needs ~$600B of Robotaxi revenue by 2030. Not proven yet.

03

My call: Watch / Defer

Re-check every quarter.
Buy only if the evidence shows up.

Bottom line: at $356, the market is paying for a future Tesla hasn't delivered yet.

Committee ask: do not initiate today; keep TSLA on the watch list and review the six triggers each quarter.

AI Assistance and Sources

- Claude helped me with the design of the tables. All the numbers were double checked by me in the 10k and 10Q reports on the SEC Filings website.
- Tesla's 10K
- Tesla's 10Q